

OPEN SOURCE BUSINESS MODELS: How Beneficial They Are

The world is moving towards deploying more open source solutions, but are businesses adopting open source in proportion to the way these solutions are being deployed? If yes, are there any proven business models that can help open source companies sustain themselves? Should new companies (startups) venture out in the world of open source?



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Open source, about a decade back, was referred to as something solely meant for geeks, programmers, and educational institutions. A few years ago, it started gaining recognition as something that is for everyone to leverage upon. Today, even large organisations like Microsoft are openly talking about it, and investing in the same as well.

“A lot has happened and evolved in open source. The top view shows it is free. However, even if it is being made freely available, there are billions of dol-

lars riding on the ecosystem. Not only are there open source companies valued at more than a billion dollars; industry giants including Google and Microsoft are investing millions of dollars in the same,” says Mukul Mahajan, MD, Tetra Information Services Pvt Ltd.

Most of these investments, as a matter of fact, focus on hiring manpower for the open source ecosystem. Business models like professional services and cloud hosting are evolving, but the big question is what are the opportunities available to or-